

ECO401 CURRENT SOLVED SUBJECTIVE MIDTERM PAPERS BY SARIM

Economics

Provided by **Sarim**

Q1) Difference b/w Income effect and substitution effect

Answer:

Income effect change in demand due to price change affecting real income while substitution effect change in demand due to price change affecting relative prices.

Q2) Advantages of monopoly

Answer:

Advantages of Monopoly

- + Price Setting Power
- + Economies of Scale
- + Innovation and Research
- + Market Stability

Q3) Price maker firm ki definition

Answer:

A firm that controls its product's market price due to dominance.

Q4) Risk averse or risk loving ki definition

Answer:

Risk averse prefers certainty over risk while risk loving accepts higher risk for higher returns.

Q5) Social cost and marginal social cost

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Answer:

Social Cost: Total cost to society for producing goods.

Marginal Social Cost: Additional cost to society for one more unit.

Q6) Characteristics of oligopoly in market structure.

Answer:

Oligopoly Characteristics

- Few Large Firms
- Interdependence
- Barriers to Entry
- Non-Price Competition
- Collusion

Q7) Total utility function = $600 - 60Q - 2P^2$ what is Marginal utility function?

Answer:

Marginal Utility (MU) = $d(\text{Total Utility})/dQ = -60 - 4P^2$

Q8) Satisfaction units were given for clothes, books, and charity. Ali wants to buy the books? What he will buy? And why?

Clothes 09SU

Books 15SU

Charity 22 SU

Answer:

Ali will buy books because they provide the highest satisfaction units (15 SU), indicating the highest level of utility compared to clothes and charity.

Q9) demand function quadratic equation was given

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$$Q_d = 300 - 0.5P$$

Calculate for the given prices

Price (p)

10

15

20

25

30

Answer:

Calculating Quantity Demanded (Q_d) for Given Prices

- $P = 10: Q_d = 300 - 0.5(10) = 295$
- $P = 15: Q_d = 300 - 0.5(15) = 292.5$
- $P = 20: Q_d = 300 - 0.5(20) = 290$
- $P = 25: Q_d = 300 - 0.5(25) = 287.5$
- $P = 30: Q_d = 300 - 0.5(30) = 285$

Q10) What is incidence of tax describe in the light of both elasticity of demand and elasticity of supply?

Answer:

Incidence of Tax

- Elastic Demand: Consumers bear less tax burden.
- Elastic Supply: Producers bear less tax burden.

Q11) Define firm and its role in economy?

Answer:

Firms produce goods and services, generate employment, contribute to GDP, and drive economic growth.

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Q12) Possible production factor (PPF) role as macroeconomics?

Answer:

It Shows the maximum output combinations of two goods given available resources, reflecting opportunity costs.

Q13) Indifference curve

Answer:

Indifference curve graph representing combinations of goods providing equal levels of satisfaction.

Q14) Inelastic demand

Answer:

Demand where percentage change in price results in a smaller percentage change in quantity demanded.

Q15) graphical representation of isoquant line

Answer:

Graphical representation of isoquant line shows all possible combinations of inputs producing a constant level of output.

Q16) Graphical representation of variation in equilibrium

Answer:

Graphical representation of variation in equilibrium shows shifts or movements in supply and demand curves affecting equilibrium price and quantity.

Q17) Why we use percentage rather than numerical value

Answer:

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Percentage allows for relative comparison and standardization across different contexts.

Q18) Different b/w substitute good or complementary good

Answer:

Substitute vs. Complementary Goods:

- Substitute: Goods that can replace each other in consumption.
- Complementary: Goods consumed together.

Q19) Rational choice explain

Answer:

Decision-making process selecting the best option among available alternatives based on preferences and constraints.

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